INVESTMENT STRATEGY
A and C SUPER FUND

Trustee: A and C Pty Limited Directors: **A.C.N. 615 123 680**
Angus Taylor & Claire Taylor **Date: 13/04/2022**

Objective

This investment strategy (as reviewed and amended annually or more often depending on changes to the needs of members) is created in compliance with the Superannuation Industry (Supervision) Act 1993.

The Fund:

1. accepts employer and member contributions and contributions from other persons as the laws allow
2. transfers from other Superannuation funds and from a spouse as the laws allow
3. provides benefits to members upon retirement and as the laws allow
4. provides other activities as allowed by the laws and regulations from time to time
5. allows access to any unrestricted non-preserved benefits (as/when allowed by the laws and regulations)
6. provides for the payment of pension benefits at a rate as determined in the future from time to time.

The fund complies with the current laws and regulations and the rules in the trust deed. It has the following investment objectives:

Risk and Return

It is recognised that timing (when you get into the investment) and time in the investment (how long you are in the investment) effects returns. Different investments have different returns and volatility. The trustee (from time to time) of the fund has a strong emphasis on preserving the fund's capital. However, many sound investments are not capital guaranteed. Security of capital has to be tempered with the need to achieve the desired rate of return. Therefore, assets that show volatility may be of benefit to the fund.

The trustee is ever vigilant to balance these two objectives:

- protecting the capital and
- growing the value of the fund by obtaining an acceptable rate of return

Position on Diversification

From time to time fund investments may be diversified across asset classes, but at other times may be concentrated in only a few or one. The trustee will invest according to market conditions and availability of the fund’s assets. A fund’s assets may be predominantly invested in residential or commercial (or other types of) real estate should the trustee see fit to do so.

The trustee recognises that should the fund invest heavily in one asset or asset class, it will be heavily exposed to risks of that asset class. For example, if the majority of fund assets are invested in one property, the fund has significant downside risk should property values fall, or the property remain untenanted. This includes potential capital losses or cash-flow issues due to a lack of income or an inability to sell if the property market is struggling.

Should the trustee decide to invest in one asset or asset class, the fund’s objectives, required rate of return and cash-flow requirements will be taken into account.

Required Rate of Return

The Trustee seeks an overall investment return for the fund in the 7-10 year term (medium term) of 3-5% above the average rate of inflation over that period.

Trustee Obligations

Should a member have an active income stream, the trustee ensures that the fund meets the legislated standard minimums to continue to obtain concessional taxation status on the income. It is also incumbent on the trustee to consider the tax consequences of all investments. Tax-advantaged products may reduce the fund's taxation burden. Tax is one of the trustee's relevant concerns. The trustee acknowledges that member benefits are a liability of the fund. The trustee gives thought to the level of benefits required to be paid to the member(s). Should the members approach pension age or have an active income stream, the trustee must consider the cash-flow implications and ensure enough short and medium term assets are available to meet the payments and provide for debts as and when they fall due.

Paying Debts

The trustee is obliged to pay tax, expenses and benefits as and when they fall due. The trustee must ensure that it holds sufficient cash to meet such obligations.

Cost of Investing

The trustee strives to reduce costs of investing. However, at times upfront investment costs are payable in order to obtain the best investment products that fit into this investment strategy. Exit costs and penalties may also be part of the cost of carrying out this investment strategy.

Gearing

Borrowing to invest is permissible by the fund in accordance with the rules and laws at the time.

Insurance

The trustees have reviewed the need to hold insurance for members of the fund and have determined that the current level of cover is adequate in compliance with the directives contained within SIS Act1994 Regulation 4.09 (2)(e)

Investments

Investments can be held in any weighting as market situations dictate. At present, the targeted allocation for each investment class are shown below, this strategy will be reviewed periodically.

Cash (1-50%)

Money can be held in kind, in banks, building societies, lending institutions and cash management accounts.

Australian Shares (0-50%)

These include listed and unlisted securities including shares, warrants, derivatives, hybrid securities and managed funds.

Fixed Interest (2-50%)

This includes deposits in Australian and overseas banks, building societies, lending institutions, cash management accounts, government and non-government bonds, bank bills, debentures, corporate notes and specialist fixed interest funds.

International Shares (0-50%)

These include investments directly or indirectly in listed and unlisted shares from around the world including listed and unlisted securities including shares, warrants, derivatives, hybrid securities and managed funds.

Property (0-30%)

This includes direct residential and commercial real estate and both direct and indirect investments in listed and unlisted property trusts and property securities funds.

Review

The trustees undertake to review this strategy on a continual basis and will regularly revisit the objectives and strategies of the fund consistent with the needs of members and will as a minimum review the fund's investment strategy annually.

Signed by the trustee(s) or trustee director(s)

Angus Apr 19, 2022

Angus (Apr 19, 2022 12:51 GMT+10)

Angus Taylor

Claire Apr 20, 2022

Claire (Apr 20, 2022 12:16 GMT+10)

Claire Taylor

Investment strategy

Final Audit Report 2022-04-20

Created:	2022-04-19
By:	Alphington Private Wealth (contact@alphingtonprivate.com.au)
Status:	Signed
Transaction ID:	CBJCHBCAABAASwZRqrG4Xgj04eOFF4mfPstwoznOERpR

"Investment strategy " History

Document created by Alphington Private Wealth (contact@alphingtonprivate.com.au)

2022-04-19 - 0:58:51 AM GMT

Document emailed to Angus (angus@sme.com) for signature 2022-04-19 - 0:59:38 AM GMT

Document emailed to Claire (claire@yahoo.com.au) for signature 2022-04-19 - 0:59:39 AM GMT

Email viewed by Claire (claire@yahoo.com.au)

2022-04-19 - 2:07:05 AM GMT- IP address: 69.147.89.254

Email viewed by Angus (angus@sme.com)

2022-04-19 - 2:48:59 AM GMT- IP address: 14.202.162.170

Document e-signed by Angus (angus@sme.com)

Signature Date: 2022-04-19 - 2:51:41 AM GMT - Time Source: server- IP address: 14.202.162.170

Document e-signed by Claire (claire@yahoo.com.au)

Signature Date: 2022-04-20 - 2:16:03 AM GMT - Time Source: server- IP address: 85.203.36.56

Agreement completed.

2022-04-20 - 2:16:03 AM GMT